

08 Bond and money markets

3 primary questions | Oldest to newest

2026 objectives: 2.3.1-2.3.2

6 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2007 Q1	4 marks
CA1-P2 September 2009 Q2	5 marks
CA1-P2 April 2012 Q2	10 marks

CA1-P2 | April 2007 | Q1

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Examiner report and original paper: use the links for this question in [index.html](#).

- 1** For money market instruments:
- (a) Describe the principal characteristics.
 - (b) Describe the markets and the market-makers. [4]

CA1-P2 | September 2009 | Q2

Current topic | 5 marks total | Original PDF p2

Related: Ch 11.

2 Two types of interest rates are defined as:

- (1) Short-term interest rates in the commercial money markets, that is short-term loans not involving the government; and
- (2) The base interest rate set by the economy's central bank, or equivalent. This base interest rate is the rate charged on very short-term money that the government lends to or borrows from commercial banks to provide liquidity in the market.

In the country concerned, the rates described in (1) above have traditionally been slightly higher than those in (2).

Describe circumstances where the margin between these two rates may increase. [5]

CA1-P2 | April 2012 | Q2

Current topic | 10 marks total | Original PDF p2

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- 2**
- (i) Outline the functions of the money markets. [3]
 - (ii) Discuss the principal influences on the various short term interest rates prevailing in the money markets. [7]
- [Total 10]